THE EASE OF LIVING

Launched 12 years ago, Direct Benefit Transfer (DBT) has revolutionised the disbursement of welfare benefits, plugging the gaps that plagued the delivery mechanism in government schemes. DBT has become critical for central and state government transfers in cash that now account for some 4 per cent of the GDP.

Earlier, inefficiencies and pilferages in delivery led to massive leakages of up to 50 per cent of the total subsidy outlay. To address this challenge, the government created a robust digital ecosystem to enable direct transfer of funds to beneficiaries. The JAM trinity—Jan Dhan, Aadhaar and mobile—has been the enabler in this transformation. Aadhaar, introduced in 2010, provided a 12-digit unique identification number based on biometric verification. It created a database linking the demographic details of individuals to a singular, verified identity which was subsequently connected to bank accounts. In August 2014, the Pradhan Mantri Jan Dhan Yojana (PMJDY) was introduced to bring the vast unbanked population into the formal financial system. Individuals could now open zero-balance savings accounts using Aadhaar as ID proof and access services digitally.

From Rs 6,000 crore disbursed across 56 schemes in FY15, the amount rose to Rs 2.14 lakh crore disbursed through 1,016 schemes—including state ones—to over 1,040 million beneficiaries by November 2023. This has reduced fraud and improved efficiency in welfare delivery, ensuring timely benefits reach the right people. For example, the Pradhan Mantri Kisan Samman Nidhi (PM-Kisan) Yojana today supports over 11 million farmers, disbursing Rs 2,000 instalments thrice a year. Since its launch in 2019, over Rs 3.46 lakh crore has been disbursed through DBT. "This speed and scale, and precision targeting, would have been unimaginable in the pre-DBT era," says Prakash Jayaram, partner, Technology Consulting, EY. In addition to improving efficiency, DBT had saved the government Rs 5 lakh crore by plugging leakages as of FY22.

"For the next level, the government must evolve DBT schemes from a reactive to proactive governance paradigm," Jayaram adds. He notes that most schemes still require beneficiaries to apply and provide additional information in addition to Aadhaar. However, in cases like disaster relief, the government today has databases to identify affected areas and households, which should help direct digital transfers without the need for applications. ■

To stem the leaks, a digital ecosystem was built to enable direct transfer of funds to beneficiaries. The JAM trinity—Jan Dhan, Aadhaar and mobile—was the enabler in this



MUJEEB FARUQUI

SANGEETA RAWAT, 33,

Homemaker, Kolua village, Bhopal, MP

"Middlemen can't take our money now"

Sangeeta Rawat, mother of a 10-year-old, is a beneficiary of the Ladli Behna Yojana launched by the MP government in 2023 and gets Rs 1,250 per month under it. Sangeeta did not have a bank account before but opened a Jan Dhan account to enrol for the scheme. She had no prior experience of DBT but had heard all sorts of horror stories about the pre-DBT days. "I had grown up listening to these stories and also seeing it first-hand in our village. But with DBT, I go to the business correspondent (BC) linked to the bank and get my biometric done. I just have to carry my Aadhaar card and after it's validated, the BC pays me the money in cash," says Sangeeta. BCs can also accept deposits up to Rs 25,000 and do withdrawals up to Rs 10,000 at a time. "There is no scope for middlemen taking our money. The government pays it into the account and we take it out at the BC point," she adds. ■